EXECUTIVE SUMMARY

1. Introduction

The township of Aparri, Cagayan is a busting FIRST CLASS MUNICIPALITY located at the northernmost tip of Luzon Island 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River diving it into two geographic areas – **Aparri East** and **Aparri West**. The municipality is composed of **42** barangays sprawled within its 27,600.88 hectare land area with a population of **68,056** inhabitants. The town proper is made up of **15** Centro block units, the rest in its immediate environs and the west barangays including the island of barangay Fuga.

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Aparri for the period ended December 31, 2015. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them. We rendered a qualified opinion on the financial statements due to the non-submission of accounts and financial reports on time by the Municipality; hence accuracy of financial records could not be determined, thus affecting the fair presentation of the accounts in the financial statements.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2015, were P267,622,525.39, P61,561,326.53 and P206,061,198.86, with an increase of 47.04%, 145.09% and 31.34%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P 206,061,198.86 and P164,430,606.46, which increase by 0.83% and 7.15% respectively from last year's figures.

	2015	2014	Increase(Decrease) Amount	Percentage
Financial Position				
Assets	267,622,525.39	182,010,215.13	85,612,310.26	47.04%
Liabilities	61,561,326.53	25,117,390.91	36,443,935.62	145.09%
Govt. Equity	206,061,198.86	156,892,824.22	49,168,374.64	31.34%

Financial Performance				
Income	164,430,606.46	163,072,730.95	1,357,875.51	0.83%
Expense	106,512,115.72	99,401,355.83	7,110,759.89	7.15%
Appropriations, Allotments and Obligation				
Appropriations	185,377,081.07	148,041,240.00	37,335,841.07	25.22%
Allotments	185,227,081.07	129,298,000.00	55,929,081.07	43.26%
Obligations	115,501,367.74	108,709,606.37	6,791,761.37	6.25%

Summary of Funds Transferred to Other Agencies

	2015	2014	Increase(Decrease)	
			Amount	Percentage
Subsidy to Other LGUs	4,242,000.00	4,142,613.10	99,386.90	2%

The Subsidy to other LGUs represents the amount due to forty two (42) barangays of Aparri amounting to P100,000.00 each and P1,000.00 each 42 barangays as Municipal Aid Subsidy to Other funds represents the fund transferred from general fund to trust fund for various Bottoms-Up Budgeting projects of the LGU.

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the non-submission of accounts and financial reports on time by the Municipality, hence accuracy of financial records could not be determined; non-transfer of the unexpended balance of the Local Disaster Risk Reduction Management Fund (LDRRMF) to the Trust Fund books, hence accuracy of financial records could not be determined, thus affecting the fair presentation of the accounts in the financial statements.

4. Significant Findings and Recommendations

a. Financial reports and accounts of the Municipality of Aparri were not submitted on time to the Auditor contrary to Section 7.2.1 of COA Circular No. 2009-006 dated September 15, 2009 and Section 107 of PD 1445 and consequently deprived management to be informed early of any defects and/or deficiency had these been audited on time.

We recommended that concerned personnel submit the financial reports and accounts of the Municipality within the deadline set by the Commission so

that management will be informed early of any defects and/or deficiencies noted in the audit pursuant to Section 7.2.1 of COA Circular No. 2009-006 dated September 15, 2009 and Section 107 of Presidential Decree 1445.

b. Unexpended balance of the Local Disaster Risk Reduction Management Fund(LDRRMF) totaling P 14,174,359.23 for prior years and P3,673,099.83 for current year or a total of P 17,847,459.06 were not transferred to the Trust Fund books using the "Trust Liability-DRRM" or "Disaster Risk Reduction and Management Fund (Code 2-04-01-020) under the Philippine Public Sector Accounting Standard, pursuant to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012, hence, the balances of the subject account was misstated.

We recommended that the concerned personnel transfer the unexpended balance of the LDRRMF to account "Local Disaster Risk Reduction Management Fund" (Code 2-04-01-020) under the Trust Fund books to reflect the correct balance of the affected accounts in the financial statements pursuant to Section 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012.

c. Representation and Transportation Allowance (RATA) totaling P276,750.00 were being paid to Sangguniang Bayan (SB) members who were absent during the weekly regular sessions contrary to Department of Budget and Management (DBM) Local Budget Circular (LBC) No. 103 and Section 52 of Republic Act No. 7160 and, thereby rendering the expenditures irregular.

We recommended to management the following:

1. Require the members of the SB to fully refund the amount of overpayment of P276,750.00 that was not deducted from their RATA due to absences and non conduct of the required four sessions in a month;

2. Instruct the Municipal accounting Office to deduct from the RATA claims of the SB members pro-rated amounts based on actual work/attendance in regular sessions;

3. Support claims for RATA with SB minutes of meetings and certification of attendance from the SB secretary;

4. Strictly comply with the requirements of Section 52 of RA. No. 7160 on the conduct of at least one regular session a week.

d. Cash Advances for various expenses of several officials and employees totaling P1,202,554.26 were granted even without settling their previous cash advance in violation of Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997.

We recommended that the Municipal Accountant revisit and review Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997 and implement strictly the provision of the above mentioned rules and regulations.

e. The Bids and Awards Committee (BAC) schedule the deadline for dropping/submission of bid proposal envelopes fifteen (15) minutes after the conduct of eligibility checking contrary to Section 25.1 and 29 of the Implementing Rules and Regulations (IRR) of Republic Act No. 9184, thus, allowing the bidders to unduly maneuver their bid proposals to their advantage especially in cases where very few are or only one is found eligible, hence defeating the purpose of the law to procure at a cost/price most advantageous to the government.

We recommended the following:

1. set simultaneous deadlines for submission of eligibility requirements/ documents and the bid proposal envelopes ("Class A' and "Class B") and;

2. design appropriate controls to keep under utmost secrecy and confidentiality the number and identity/ies of prospective bidder/s buying bidding documents.

5. Status of Suspensions and Disallowances

Suspensions and Disallowances amounting to P 4,758,522.49 and disallowance of P1,252,494.11, respectively, remained unsettled as of December 31, 2015.

Settlement of Suspensions and Disallowances is shown on table below:

	Beginning Bal. (As of January 01, 2015)	This Period January 01 – December 31, 2015 (See B Below)		Ending balance (As of December 31, 2015)
		NS/ND/NC	NSSDC	
Notice of Suspension	5,702,430.37	-	943,907.88	4,758,522.49
Notice of			-	

Disallowance	40,114.28	1,212,379.83		1,252,494.11
Notice of Charge	-			-
Total	**5,742,544.65**	**1,212,379.83**	**943,907.88**	**6,011,016.60**

We recommended management to settle audit suspensions within the ninety- day period to avoid maturing suspensions into disallowances.

Management agreed to settle the audit suspensions and inasmuch as most of the audit suspensions pertained to infrastructure projects, the Local Chief Executive assigned the Municipal Engineer to spearhead the submission of the lacking documents/requirements.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eleven (11) audit recommendations of last year's report, seven (7) were fully implemented, two (2) were partially implemented and one (1) was not implemented as of year-end.